

Senate File 614

S-3172

1 Amend Senate File 614 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 DISCLOSURE OF TAX INFORMATION

6 Section 1. Section 421.19, subsection 2, Code 2025, is
7 amended by striking the subsection and inserting in lieu
8 thereof the following:

9 2. The department may notify federal, state, or local
10 law enforcement agencies, and may disclose state returns,
11 state return information, state investigative information or
12 audit information, or any other state information, to such law
13 enforcement agencies, if the department has information that
14 indicates any of the following:

15 a. A person intentionally filed a false claim, affidavit,
16 return, or other information with intent to evade tax or obtain
17 a refund, credit, or other benefit from the department.

18 b. A person failed to file a return with intent to evade a
19 tax or filing requirement.

20 c. A person failed to pay with the intent to evade tax.

21 d. A person committed any act or omission that is a criminal
22 offense under a provision of this title administered by the
23 department.

24 Sec. 2. Section 421.19, subsection 3, Code 2025, is amended
25 to read as follows:

26 3. Notwithstanding sections 422.20 and 422.72, the
27 department may disclose state returns, state return
28 information, state investigative or audit information, or any
29 other state information as provided under this section.

30 Sec. 3. Section 422.20, subsection 3, paragraph a, Code
31 2025, is amended to read as follows:

32 a. Unless otherwise expressly permitted by section 8G.4,
33 section 11.41, section 96.11, subsection 6, section 421.17,
34 subsections 22, 23, and 26, section 421.17, subsection 27,
35 paragraph "k", section 421.17, subsection 31, section 252B.9,

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1 section 321.40, subsection 6, sections 321.120, 421.19, 421.28,
2 421.59, 421.65, 422.72, and 452A.63, and 556.19, subsection 2,
3 this section, or another provision of law, a tax return, return
4 information, or investigative or audit information shall not
5 be divulged to any person or entity, other than the taxpayer,
6 the department, or internal revenue service for use in a matter
7 unrelated to tax administration.

8 Sec. 4. Section 422.72, subsection 3, paragraph a, Code
9 2025, is amended to read as follows:

10 a. Unless otherwise expressly permitted by section 8G.4,
11 section 11.41, section 96.11, subsection 6, section 421.17,
12 subsections 22, 23, and 26, section 421.17, subsection 27,
13 paragraph "k", section 421.17, subsection 31, section 252B.9,
14 section 321.40, subsection 6, sections 321.120, 421.19, 421.28,
15 421.65, 422.20, and 452A.63, and section 556.19, subsection 2,
16 this section, or another provision of law, a tax return, return
17 information, or investigative or audit information shall not
18 be divulged to any person or entity, other than the taxpayer,
19 the department, or internal revenue service for use in a matter
20 unrelated to tax administration.

21 Sec. 5. EFFECTIVE DATE. This division of this Act, being
22 deemed of immediate importance, takes effect upon enactment.

23 DIVISION II

24 ANNUAL REPORTING

25 Sec. 6. Section 421.60, subsection 2, paragraph k, Code
26 2025, is amended by striking the paragraph.

27 Sec. 7. Section 422.75, Code 2025, is amended to read as
28 follows:

29 **422.75 Statistics — publication.**

30 The department shall prepare and publish an annual report
31 which shall include statistics reasonably available, with
32 respect to the operation of this chapter, including amounts
33 collected, classification of taxpayers, and such other facts
34 as are deemed pertinent and valuable. ~~The annual report shall~~
35 ~~also include the reports and information required pursuant to~~

1 ~~section 421.60, subsection 2, paragraph "k".~~

2 DIVISION III

3 PROPERTY TAX — CHANGES

4 Sec. 8. Section 425.20, subsection 3, Code 2025, is amended
5 to read as follows:

6 3. In case of sickness, absence, or other disability of
7 the claimant or if, in the judgment of the ~~director of revenue~~
8 ~~or the director of health and human services, as applicable,~~
9 good cause exists and the claimant requests an extension, the
10 director of health and human services may extend the time for
11 filing a claim for reimbursement ~~and the director of revenue~~
12 ~~may extend the time for filing a claim for credit.~~ However,
13 any further time granted shall not extend beyond December 31
14 of the year following the year in which the claim was required
15 to be filed. Claims filed as a result of **this subsection** shall
16 be filed with the director of health and human services ~~or the~~
17 ~~director of revenue, as applicable,~~ who shall provide for the
18 reimbursement of the claim to the claimant.

19 Sec. 9. Section 445.60, Code 2025, is amended to read as
20 follows:

21 **445.60 Refunding erroneous tax.**

22 The board of supervisors shall direct the county treasurer
23 to refund to the taxpayer any tax or portion of a tax found to
24 have been erroneously or illegally paid, with all interest,
25 fees, and costs actually paid. A refund shall not be ordered
26 or made unless a claim for refund is presented to the board
27 within two years of the date the tax was due, or if appealed
28 to the board of review, the property assessment appeal board,
29 director of revenue, or district court, within two years of the
30 final decision.

31 Sec. 10. EFFECTIVE DATE. The following, being deemed of
32 immediate importance, takes effect upon enactment:

33 The section of this division of this Act amending section
34 445.60.

35 DIVISION IV

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1 FARM TENANCY INCOME TAX EXCLUSION

2 Sec. 11. Section 422.7, subsection 14, paragraph a, Code
3 2025, is amended to read as follows:

4 a. Subtract, to the extent included, net income received
5 by an eligible individual pursuant to a farm tenancy agreement
6 covering real property held by the eligible individual for
7 ten or more years, if the eligible individual materially
8 participated in a farming business for ten or more years in the
9 aggregate.

10 Sec. 12. Section 422.7, subsection 14, paragraph f, Code
11 2025, is amended by adding the following new subparagraph:

12 NEW SUBPARAGRAPH. (04) "*Held*" shall be determined with
13 reference to the holding period provisions of section 1223 of
14 the Internal Revenue Code and the federal regulations pursuant
15 thereto.

16 DIVISION V

17 PASS-THROUGH ENTITIES

18 Sec. 13. Section 422.25C, subsection 2, Code 2025, is
19 amended to read as follows:

20 2. For tax years beginning on or after January 1, 2020, any
21 adjustments to a partnership's or pass-through entity's items
22 of income, gain, loss, expense, or credit, or an adjustment to
23 such items allocated to a partner that holds an interest in a
24 partnership or pass-through entity for the reviewed year by
25 the department as a result of a state partnership audit, shall
26 be determined at the partnership level or pass-through entity
27 level in the same manner as provided by section 6221(a) of the
28 Internal Revenue Code and the regulations thereunder unless a
29 different treatment is specifically provided in [this title](#).

30 The provisions of sections 6222, 6223, and 6227 of the Internal
31 Revenue Code and the regulations thereunder shall also apply to
32 a partnership or pass-through entity and its direct or indirect
33 partners in the same manner as provided in such sections unless
34 a different treatment is specifically provided in [this title](#).

35 For purposes of applying such sections, due account shall be

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1 made for differences in federal and Iowa terminology. The
2 adjustment provided by section 6221(a) of the Internal Revenue
3 Code shall be determined as provided in such section but shall
4 be based on Iowa taxable income or other tax attributes of
5 the partnership or pass-through entity as determined pursuant
6 to [this chapter](#) for the reviewed year. The department shall
7 issue a notice of adjustment to the partnership or pass-through
8 entity. Such notice shall be treated as an assessment for the
9 purposes of [section 422.25](#), and the notice shall be appealable,
10 except as provided in section 422.25, by the partnership or
11 pass-through entity pursuant to [sections 422.28](#) and [422.29](#) and
12 shall be issued within the time period provided by section
13 422.25. Once the adjustments to partnership-related or
14 pass-through entity-related items or reallocations of income,
15 gains, losses, expenses, credits, and other attributes among
16 such partners for the reviewed year are finally determined,
17 the partnership or pass-through entity and any direct partners
18 or indirect partners shall then be subject to the provisions
19 of [section 422.25, subsection 1](#), paragraph "e", and section
20 422.25A in the same manner as if the state partnership audit
21 were a federal partnership level audit, and as if the final
22 state partnership audit adjustment were a final federal
23 partnership adjustment. The penalty exceptions in section
24 421.27, subsection 2, paragraphs "b" and "c", shall not apply
25 to a state partnership audit.

26 Sec. 14. EFFECTIVE DATE. This division of this Act, being
27 deemed of immediate importance, takes effect upon enactment.

28 Sec. 15. RETROACTIVE APPLICABILITY. This division of this
29 Act applies retroactively to January 1, 2024.

30 DIVISION VI

31 SALES TAX CHANGES

32 Sec. 16. Section 423.2, subsection 1, paragraph b, Code
33 2025, is amended to read as follows:

34 *b. (1)* Sales of building materials, supplies, and equipment
35 to owners, ~~contractors, subcontractors, or builders for the~~

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1 ~~erection of buildings or the alteration, repair, or improvement~~
2 ~~of real property are retail sales of tangible personal property~~
3 ~~in whatever quantity sold. Where the owner, contractor,~~
4 ~~subcontractor, or builder is also a retailer holding a sales~~
5 ~~or use tax permit and transacting retail sales of building~~
6 ~~materials, supplies, and equipment, the person shall purchase~~
7 ~~such items of tangible personal property without liability for~~
8 ~~the tax if such property will be subject to the tax at the~~
9 ~~time of resale or at the time it is withdrawn from inventory~~
10 ~~for construction purposes. The sales tax shall be due in the~~
11 ~~reporting period when the materials, supplies, and equipment~~
12 ~~are withdrawn from inventory for construction purposes or~~
13 ~~when sold at retail. The tax shall not be due when materials~~
14 ~~are withdrawn from inventory for use in construction outside~~
15 ~~of Iowa and the tax shall not apply to tangible personal~~
16 ~~property purchased and consumed by the manufacturer as building~~
17 ~~materials in the performance by the manufacturer or its~~
18 ~~subcontractor of construction outside of Iowa. The sale of~~
19 ~~carpeting is not a sale of building materials. The sale of~~
20 ~~carpeting to owners, contractors, subcontractors, or builders~~
21 ~~shall be treated as the sale of ordinary tangible personal~~
22 ~~property and subject to the tax imposed under this subsection~~
23 ~~and the use tax Sales of building materials and supplies to~~
24 ~~contractors, subcontractors, or builders for the erection of~~
25 ~~buildings and other structures or for the reconstruction,~~
26 ~~alteration, expansion, or remodeling of buildings and other~~
27 ~~structures are retail sales of tangible personal property.~~
28 ~~Sales of building materials and supplies to contractors,~~
29 ~~subcontractors, or builders for use in repairs to or for~~
30 ~~installation in existing buildings and other structures~~
31 ~~are purchases for resale. Sales of building equipment to~~
32 ~~contractors, subcontractors, or builders are retails sales of~~
33 ~~tangible personal property.~~

34 (2) Where the owner, contractor, subcontractor, or builder
35 is also a retailer holding a sales and use tax permit and

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1 transacting retail sales of building materials, supplies, and
2 equipment, the person shall purchase such items of tangible
3 personal property without liability for the tax if such
4 property will be subject to sales tax at the time of resale
5 or subject to use tax at the time the retailer withdraws
6 such property from inventory for use by the retailer in
7 erecting buildings and other structures or for reconstruction,
8 alteration, expansion, or remodeling of buildings and other
9 structures. The tax shall be due in the reporting period
10 when the materials, supplies, or equipment are withdrawn from
11 inventory or when sold at retail. The tax shall not be due when
12 materials and supplies are withdrawn from inventory for use in
13 construction outside of Iowa.

14 (3) The sale of carpeting is not a sale of building
15 materials. Sales of carpeting to owners, contractors,
16 subcontractors, or builders are retail sales of tangible
17 personal property and subject to tax.

18 Sec. 17. Section 423.36, subsection 9, paragraph a, Code
19 2025, is amended to read as follows:

20 a. Except as provided in paragraph "b", purchasers, users,
21 and consumers of tangible personal property, specified digital
22 products, or enumerated services taxed pursuant to subchapter
23 II or III of [this chapter](#) or [chapter 423B](#) may be authorized,
24 pursuant to rules adopted by the director, to remit tax owed
25 directly to the department instead of the tax being collected
26 and paid by the seller. To qualify for a direct pay tax permit,
27 the purchaser, user, or consumer must accrue a tax liability of
28 more than ~~four~~ eight thousand dollars in tax under subchapters
29 II and [III](#) in a ~~semi-monthly~~ monthly period and make deposits
30 and file returns pursuant to [section 423.31](#). This authority
31 shall not be granted or exercised except upon application to
32 the director and then only after issuance by the director of a
33 direct pay tax permit.

34 DIVISION VII
35 MOTOR FUEL TAXES

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1 Sec. 18. Section 452A.3, subsection 1, paragraph b,
2 unnumbered paragraph 1, Code 2025, is amended to read as
3 follows:

4 On and after July 1, 2030, an excise tax of thirty cents is
5 imposed on each gallon of ethanol blended gasoline classified
6 as E-15 or higher. Before July 1, 2030, the rate of the excise
7 tax on ethanol blended gasoline classified as E-15 or higher
8 shall be based on the number of gallons of ethanol blended
9 gasoline classified as E-15 or higher that are distributed
10 in this state as expressed as a percentage of the number of
11 gallons of motor fuel distributed in this state, which is
12 referred to as the distribution percentage. For purposes
13 of this paragraph "b", only ethanol blended gasoline and
14 nonblended gasoline, not including aviation gasoline, shall be
15 used in determining the percentage basis for the excise tax.
16 The department shall determine the percentage basis for each
17 determination period beginning January 1 and ending December 31
18 based on information from reports submitted to the department
19 for filing pursuant to [section 452A.33](#). Before June 1, the
20 department may amend the distribution percentage due to a
21 mistake, if there is a late report filed by a retail dealer
22 to the department under section 452A.33, subsection 1, or if
23 the distribution percentage is not accurate. The rate for the
24 excise tax shall apply for the period beginning July 1 and
25 ending June 30 following the end of the determination period.
26 Before July 1, 2030, the rate of the excise tax on each gallon
27 of ethanol blended gasoline classified as E-15 or higher shall
28 be as follows:

29 Sec. 19. Section 452A.3, subsection 3, paragraph a,
30 subparagraph (2), unnumbered paragraph 1, Code 2025, is amended
31 to read as follows:

32 Except as otherwise provided in [this section](#) and in this
33 subchapter, this subparagraph shall apply to the excise tax
34 imposed on each gallon of biodiesel blended fuel classified
35 as B-20 or higher used for any purpose for the privilege of

1 operating motor vehicles in this state. On and after July 1,
2 2030, the rate of the excise tax on each gallon of biodiesel
3 blended fuel classified as B-20 or higher is thirty-two and
4 five-tenths cents. Before July 1, 2030, the rate of the excise
5 tax on each gallon of biodiesel blended fuel classified as
6 B-20 or higher shall be based on the number of gallons of
7 biodiesel blended fuel classified as B-20 or higher that are
8 distributed in this state as expressed as a percentage of the
9 number of gallons of special fuel for diesel engines of motor
10 vehicles distributed in this state, which is referred to as
11 the distribution percentage. The department shall determine
12 the percentage basis for each determination period beginning
13 January 1 and ending December 31 based on information from
14 reports submitted to the department for filing pursuant to
15 section 452A.33. Before June 1, the department may amend the
16 distribution percentage due to a mistake, if there is a late
17 report filed by a retail dealer to the department under section
18 452A.33, subsection 1, or if the distribution percentage is
19 not accurate. The rate of the excise tax shall apply for the
20 period beginning July 1 and ending June 30 following the end of
21 the determination period. Before July 1, 2030, the rate of the
22 excise tax on each gallon of biodiesel blended fuel classified
23 as B-20 or higher shall be as follows:

24 Sec. 20. Section 452A.15, subsection 5, Code 2025, is
25 amended to read as follows:

26 5. The director may impose a civil penalty against any
27 person who fails to timely file the reports or keep the records
28 required under this section. The penalty shall be one hundred
29 dollars for the first violation and shall increase by one
30 hundred dollars for each additional violation occurring in the
31 calendar year in which the first violation occurred.

32 Sec. 21. Section 452A.33, subsection 2, unnumbered
33 paragraph 1, Code 2025, is amended to read as follows:

34 On or before April 1 the department shall deliver a report
35 to the governor and the legislative services agency. Before

1 June 1, the department may amend the report due to a mistake,
2 if there is a late report by a retail dealer under subsection
3 1, or if the report is not accurate. The report shall compile
4 information reported by retail dealers to the department as
5 provided in this section and shall at least include all of the
6 following:

7 Sec. 22. Section 452A.41, subsection 5, paragraph a, Code
8 2025, is amended to read as follows:

9 a. For the purpose of determining the amount of liability
10 for the electric fuel tax, each dealer and user shall file with
11 the department not later than July 31 for the period beginning
12 January 1 and ending June 30, and not later than January ~~30~~
13 31 for the period beginning July 1 and ending December ~~30~~ 31,
14 a biannual tax return certified under penalties for false
15 certification. The return shall show, with reference to each
16 location at which fuel is delivered or placed by the dealer or
17 user into the battery or other energy storage device of any
18 electric motor vehicle during the next preceding six calendar
19 months, information as required by the department. On and
20 after January 1, 2026, the department may require by rule that
21 such tax returns be filed quarterly.

22 Sec. 23. Section 452A.44, Code 2025, is amended by adding
23 the following new subsection:

24 NEW SUBSECTION. 4. If electric fuel is sold or dispensed
25 for a nontaxable purpose, the purchaser may complete and
26 provide an exemption certificate produced by the department to
27 the license holder.

28 DIVISION VIII

29 INHERITANCE TAX — FUTURE CODE CHANGES DUE TO REPEAL

30 Sec. 24. Section 12D.9, subsection 3, Code 2025, is amended
31 to read as follows:

32 3. ~~State~~ For a death occurring before January 1, 2025, state
33 inheritance tax treatment of interests in Iowa educational
34 savings plans shall be as provided in section 450.4, subsection
35 8. This subsection shall apply to all Iowa educational savings

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1 plans existing on or after July 1, 1998.

2 Sec. 25. Section 12I.8, subsection 3, Code 2025, is amended
3 to read as follows:

4 3. ~~State~~ For a death occurring before January 1, 2025, state
5 inheritance tax treatment of interests in Iowa ABLE savings
6 plans shall be as provided in [section 450.4, subsection 9](#).

7 Sec. 26. Section 12I.10, subsection 3, Code 2025, is amended
8 to read as follows:

9 3. ~~State~~ For a death occurring before January 1, 2025, state
10 inheritance tax treatment of interests in the qualified ABLE
11 program with which the state has contracted pursuant to this
12 section shall be as provided in [section 450.4, subsection 9](#).

13 Sec. 27. Section 16.177, subsection 8, Code 2025, is amended
14 to read as follows:

15 8. Bonds issued under [this section](#) are declared to be issued
16 for an essential public and governmental purpose and all bonds
17 issued under [this section](#) shall be exempt from taxation by the
18 state of Iowa and the interest on the bonds shall be exempt
19 from the state income tax and ~~the~~ any state inheritance tax.

20 Sec. 28. Section 321.47, subsection 2, paragraph a, Code
21 2025, is amended to read as follows:

22 a. The persons entitled under the laws of descent and
23 distribution to the possession and ownership of a vehicle owned
24 in whole or in part by a decedent who died intestate, upon
25 filing an affidavit stating the name and date of death of the
26 decedent, the right to possession and ownership of the persons
27 filing the affidavit, and that there has been no administration
28 of the decedent's estate, which instrument must also contain
29 an agreement by the affiant to indemnify creditors of the
30 decedent who would be entitled to levy execution upon the motor
31 vehicle to the extent of the value of the motor vehicle, shall,
32 upon complying with the other title transfer requirements of
33 this chapter, be issued a registration card for the decedent's
34 interest in the vehicle and a certificate of title to the
35 vehicle. If a decedent died testate, and either the will is

1 not probated or is admitted to probate without administration,
2 the persons entitled to the possession and ownership of
3 a vehicle owned in whole or in part by the decedent may
4 file an affidavit and, upon complying with the other title
5 transfer requirements of [this chapter](#), shall be issued a
6 registration card for the decedent's interest in the vehicle
7 and a certificate of title to the vehicle. The affidavit
8 must contain the same information and indemnity agreement
9 as is required in cases of intestacy under [this subsection](#).
10 ~~Chapter 450 is not~~ For a death occurring before January 1,
11 2025, a requirement of chapter 450 shall not be considered
12 satisfied by the filing of the affidavit provided for in this
13 subsection. If, from the records in the office of the county
14 treasurer, there appear to be any liens on the vehicle, the
15 certificate of title must contain a statement of the liens
16 unless the application is accompanied by proper evidence of
17 the satisfaction or extinction of such liens. Evidence of
18 extinction includes but is not limited to an affidavit of the
19 applicant stating that a security interest was foreclosed as
20 provided in [chapter 554, article 9, part 6](#). The department
21 shall waive the certificate of title fee and surcharge required
22 under [sections 321.20, 321.20A, 321.23, 321.46, 321.52, and](#)
23 [321.52A](#) if the person entitled to possession and ownership of
24 a vehicle, as provided in [this subsection](#), is the surviving
25 spouse of a decedent.

26 Sec. 29. Section 331.602, subsection 23, Code 2025, is
27 amended to read as follows:

28 23. ~~Forward~~ For deaths occurring before January 1, 2025,
29 forward to the director of revenue a copy of any deed, bill of
30 sale, or other transfer which shows that it is made or intended
31 to take effect at or after the death of the person executing
32 the instrument as provided in [section 450.81](#).

33 Sec. 30. Section 331.756, subsection 57, Code 2025, is
34 amended to read as follows:

35 57. ~~Represent~~ For deaths occurring before January 1, 2025,

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1 represent the state in litigation relating to the inheritance
2 tax if requested by the department of revenue as provided in
3 section 450.1.

4 Sec. 31. Section 421.27, subsection 1, paragraph d,
5 subparagraph (13), Code 2025, is amended to read as follows:

6 (13) That For a death occurring before January 1, 2025,
7 that an Iowa inheritance tax return is filed for an estate
8 within the later of nine months from the date of death or sixty
9 days from the filing of a disclaimer by the beneficiary of the
10 estate refusing to take the property or right or interest in
11 the property.

12 Sec. 32. Section 421.60, subsection 2, paragraph c,
13 subparagraph (1), Code 2025, is amended to read as follows:

14 (1) If the notice of assessment or denial of a claim for
15 refund relates to a tax return filed pursuant to section
16 422.14, or pursuant to chapter 450 for a death occurring before
17 January 1, 2025, by the taxpayer which designates an individual
18 as an authorized representative of the taxpayer with respect to
19 that return, or if a power of attorney has been filed with the
20 department by the taxpayer which designates an individual as
21 an authorized representative of the taxpayer with respect to
22 any tax that is included in the notice of assessment or denial
23 of a claim for refund, a copy of the notice together with any
24 additional information required to be sent to the taxpayer
25 shall be sent to the authorized representative as well.

26 Sec. 33. Section 422.27, subsection 1, Code 2025, is amended
27 to read as follows:

28 1. A final account of a personal representative, ~~as defined~~
29 ~~in section 450.1,~~ shall not be allowed by any court unless the
30 account shows, and the judge of the court finds, that all taxes
31 imposed by this subchapter upon the personal representative,
32 which have become payable, have been paid, and that all taxes
33 which may become due are secured by bond or deposit, or are
34 otherwise secured. The certificate of acquittances of the
35 department of revenue is conclusive as to the payment of the

1 tax to the extent of the acquittance. This subsection does
2 not apply if all property in the estate of a decedent is
3 held in joint tenancy with right of survivorship by husband
4 and wife alone. For purposes of this subsection, "personal
5 representative" means an administrator, executor, or trustee as
6 each is defined in section 633.3.

7 Sec. 34. Section 496C.14, subsection 6, paragraph h, Code
8 2025, is amended to read as follows:

9 h. Notwithstanding the provisions of this section,
10 payment of any part of the purchase price for shares of a
11 deceased shareholder shall not be required until the executor
12 or administrator of the deceased shareholder provides
13 any indemnity, release, or other document from any taxing
14 authority, which is reasonably necessary to protect the
15 corporation against liability for any estate, inheritance, and
16 death taxes tax, or any inheritance tax for a death occurring
17 before January 1, 2025.

18 Sec. 35. Section 524.805, subsection 8, Code 2025, is
19 amended to read as follows:

20 8. A state bank may receive deposits from one or more
21 persons with the provision that upon the death of the
22 depositors the deposit account shall be the property of the
23 person or persons designated by the deceased depositors as
24 shown on the deposit account records of the state bank. After
25 payment by the state bank, the proceeds shall remain subject
26 to ~~the~~ any debts of the decedent and ~~the~~ any payment of Iowa
27 inheritance tax, ~~if any~~ for a death occurring prior to January
28 1, 2025. A state bank paying the person or persons designated
29 shall not be liable as a result of that action for any debts
30 of the decedent or for any estate, inheritance, or succession
31 taxes which may be due this state.

32 Sec. 36. Section 541A.2, subsection 6, unnumbered paragraph
33 1, Code 2025, is amended to read as follows:

34 An individual development account closed in accordance
35 with this subsection is not subject to the limitations and

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1 benefits provided by this chapter but is subject to state tax
2 in accordance with the provisions of section 422.7, subsection
3 17, and in accordance with the provisions of section 450.4,
4 subsection 6, for a death occurring before January 1, 2025. An
5 individual development account may be closed for any of the
6 following reasons:

7 Sec. 37. Section 602.8102, subsection 63, Code 2025, is
8 amended to read as follows:

9 63. Carry out duties relating to the inheritance tax as
10 provided in chapter 450 for deaths occurring before January 1,
11 2025.

12 Sec. 38. Section 633.21, Code 2025, is amended to read as
13 follows:

14 **633.21 Appraisers' fees and referees' fees fixed by rule.**

15 The district judges of each judicial district shall by rule
16 fix the fees of probate referees, and also provide, insofar as
17 practicable, a uniform schedule of compensation for inheritance
18 tax appraisers, other appraisers, brokers, and agents employed
19 at estate expense.

20 Sec. 39. Section 633.31, subsection 2, paragraph a, Code
21 2025, is amended to read as follows:

22 a. For services performed in short form probates
23 pursuant to sections 450.22 and 450.44 for deaths occurring
24 before January 1, 2025.....\$ 15.00

25 Sec. 40. Section 633.356, subsection 1, unnumbered
26 paragraph 1, Code 2025, is amended to read as follows:

27 When the gross value of the decedent's personal property
28 that would otherwise be distributed by will or intestate
29 succession is or has been, at any time since the decedent's
30 death, fifty thousand dollars or less and there is no real
31 property, or for deaths occurring before January 1, 2025, the
32 real property passes to persons exempt from inheritance tax
33 as joint tenants with full rights of survivorship pursuant to
34 chapter 450, and if forty days have elapsed since the death of
35 the decedent, a successor as defined in subsection 2 may, by

1 furnishing an affidavit prepared pursuant to subsection 3 or
2 8, and without procuring letters of appointment, do any of the
3 following with respect to one or more items of such personal
4 property:

5 Sec. 41. Section 633.356, subsection 3, paragraph a,
6 subparagraph (3), Code 2025, is amended to read as follows:

7 (3) That the gross value of the decedent's personal property
8 that would otherwise be distributed by will or intestate
9 succession is, or has been at any time since the decedent's
10 death, fifty thousand dollars or less and there is no real
11 property, or for deaths occurring before January 1, 2025, the
12 real property passes to persons exempt from inheritance tax
13 as joint tenants with full rights of survivorship pursuant to
14 chapter 450.

15 Sec. 42. Section 633.356, subsection 3, paragraph a,
16 subparagraph (10), Code 2025, is amended to read as follows:

17 (10) That no inheritance or other taxes are owed to the
18 department of revenue for a death occurring prior to January 1,
19 2025, or if taxes are owed, that the taxes will be paid to the
20 extent of funds received pursuant to the affidavit.

21 Sec. 43. Section 633.356, subsection 9, Code 2025, is
22 amended to read as follows:

23 9. Upon receipt of an affidavit under **subsection 3** and
24 reasonable proof under **subsection 5** of the identity of each
25 successor seeking distribution by virtue of the affidavit,
26 the holder of the property shall disclose to the affiant
27 whether the value of the property held by the holder is, or has
28 been at any time since the decedent's death, fifty thousand
29 dollars or less. An affidavit furnished for the purpose of
30 determining whether the value of the property is, or has
31 been at any time since the decedent's death, fifty thousand
32 dollars or less need not contain the language required under
33 subsection 3, paragraph "a", subparagraph (3), but shall state
34 that the affiant reasonably believes that the gross value
35 of the decedent's personal property that would otherwise be

1 distributed by will or intestate succession is, or has been at
2 any time since the decedent's death, fifty thousand dollars
3 or less and there is no real property or for deaths occurring
4 before January 1, 2025, the real property passes to persons
5 exempt from inheritance tax as joint tenants with full rights
6 of survivorship pursuant to chapter 450.

7 Sec. 44. Section 633.361, subsection 12, Code 2025, is
8 amended to read as follows:

9 12. A listing of all other items, with estimated values,
10 which are subject to ~~Iowa~~ inheritance tax for deaths occurring
11 before January 1, 2025, or federal estate tax.

12 Sec. 45. Section 633.365, Code 2025, is amended to read as
13 follows:

14 **633.365 Appraisement.**

15 Property belonging to the estate need not be appraised
16 unless required for inheritance tax purposes for deaths
17 occurring before January 1, 2025, under the provisions of this
18 probate code, or by order of court.

19 Sec. 46. Section 633.399, Code 2025, is amended to read as
20 follows:

21 **633.399 Report for approval.**

22 After making any such sale, mortgage, exchange or lease
23 of real property, the personal representative shall make
24 a verified report thereof to the court. The court shall
25 examine said report, and if satisfied that the sale, mortgage,
26 exchange, or lease has been at a price and upon terms
27 advantageous to the estate, and, in all respects, made in
28 conformity with law, and that it ought to be confirmed, shall
29 confirm the same and order the personal representative to
30 deliver a deed, mortgage, lease or other proper instruments
31 to the persons entitled thereto; provided, however, that in
32 the event said real property has been sold at private sale
33 without an appraisal for inheritance tax purposes for a death
34 occurring before January 1, 2025, or for purpose of such sale,
35 or, if it has been so appraised and has been sold at private

1 sale for less than the appraised value thereof, then, upon the
2 filing of such report, the court may enter an order fixing a
3 time and place for hearing thereon and prescribe a notice of
4 such hearing to be served upon all interested persons, any one
5 of whom, prior to the time fixed for such hearing, may file
6 written objections to the entry of an order approving said
7 sale. If not satisfied that the sale, mortgage, exchange, or
8 lease has been made in conformity with law and that it is to the
9 best interests of the estate, the court may reject the sale,
10 mortgage, exchange, or lease, and enter such orders as the
11 court may deem advisable.

12 Sec. 47. Section 633.477, subsection 10, Code 2025, is
13 amended to read as follows:

14 10. A statement as to whether or not all statutory
15 requirements pertaining to taxes have been complied with
16 including whether the federal estate tax due has been paid,
17 whether a lien continues to exist for any federal estate tax,
18 and whether inheritance tax was paid or a return was filed in
19 this state for a death occurring before January 1, 2025.

20 Sec. 48. Section 633.479, subsection 2, paragraph a,
21 subparagraph (5), Code 2025, is amended to read as follows:

22 (5) Compliance with sections section 422.27, and section
23 450.58 for deaths occurring before January 1, 2025, have been
24 fulfilled.

25 Sec. 49. Section 633.481, Code 2025, is amended to read as
26 follows:

27 **633.481 Certificate to county recorder for tax purposes**
28 **without administration.**

29 When an inventory or report is filed under section 450.22 for
30 deaths occurring before January 1, 2025, without administration
31 of the estate of the decedent, the heir or heir's attorney
32 shall prepare and deliver to the county recorder of the county
33 in which the real estate is situated a certificate pertaining
34 to each parcel of real estate described in the inventory or
35 report. Any fees for certificates or recording fees required

1 by [this section](#) or [section 633.480](#) shall be assessed as costs
2 of administration. The fees for recording and indexing the
3 instrument shall be as provided in [section 331.604](#). The county
4 recorder shall deliver the certificates to the county auditor
5 as provided in [section 558.58](#).

6 Sec. 50. Section 635.7, subsection 1, Code 2025, is amended
7 to read as follows:

8 1. The personal representative is required to file the
9 report and inventory for which provision is made in section
10 633.361, including all probate and nonprobate assets. This
11 chapter does not exempt the personal representative from
12 complying with the requirements of [section 422.27](#), ~~[450.22](#)~~,
13 ~~[450.58](#)~~, [633.480](#), or [633.481](#), and the administration of an
14 estate whether converted to or from a small estate shall be
15 considered one proceeding pursuant to [section 633.330](#). For
16 a death occurring before January 1, 2025, this chapter does
17 not exempt the personal representative from complying with the
18 requirements of section 450.22 or 450.58.

19 Sec. 51. Section 635.8, subsection 1, paragraph e, Code
20 2025, is amended to read as follows:

21 e. A statement that all statutory requirements pertaining to
22 taxes have been complied with, including whether federal estate
23 tax due has been paid, whether a lien continues to exist for
24 any federal estate tax, and whether inheritance tax was paid
25 or a tax return was filed in this state for a death occurring
26 before January 1, 2025.

27 Sec. 52. Section 654.16, subsection 2, Code 2025, is amended
28 to read as follows:

29 2. If a homestead is designated, the court shall determine
30 the fair market value of the designated homestead before
31 the sheriff's sale. The court may consult with the county
32 appraisers appointed pursuant to [section 450.24](#) for deaths
33 occurring before January 1, 2025, or with one or more
34 independent appraisers, to determine the fair market value of
35 the designated homestead.

1 Sec. 53. EFFECTIVE DATE. This division of this Act, being
2 deemed of immediate importance, takes effect upon enactment.

3 Sec. 54. RETROACTIVE APPLICABILITY. This division of this
4 Act applies retroactively to January 1, 2025, to the estates of
5 decedents dying on or after January 1, 2025.

6 DIVISION IX

7 LUMP SUM DISTRIBUTION OF RETIREMENT INCOME

8 Sec. 55. Section 422.5, subsection 7, Code 2025, is amended
9 to read as follows:

10 7. a. In addition to the other taxes imposed by this
11 section, a tax is imposed, except under paragraph "b", on the
12 amount of a lump sum distribution for which the taxpayer has
13 elected under section 402(e) of the Internal Revenue Code to
14 be separately taxed for federal income tax purposes for the
15 tax year. The rate of tax is equal to twenty-five percent of
16 the separate federal tax imposed on the amount of the lump
17 sum distribution. A nonresident is liable for this tax only
18 on that portion of the lump sum distribution allocable to
19 Iowa. The total amount of the lump sum distribution subject
20 to separate federal tax shall be included in net income for
21 purposes of determining eligibility under subsections 2 and 3,
22 as applicable, except the amount of the lump sum distribution
23 exempt from state tax in paragraph "b" shall not be included.

24 b. The amount of a lump sum distribution that is received
25 from a governmental or other pension or retirement plan,
26 including defined benefit or defined contribution plans,
27 annuities, individual retirement accounts, plans maintained or
28 contributed to by an employer, or maintained or contributed
29 to by a self-employed person as an employer, and deferred
30 compensation plans or any earnings attributable to the deferred
31 compensation plans is exempt from state tax imposed under
32 paragraph "a" if received by a person who is disabled, or is
33 fifty-five years of age or older, or is the surviving spouse of
34 an individual or is a survivor having an insurable interest in
35 an individual who would have qualified for the exemption under

1 this subsection for the tax year.

2 Sec. 56. EFFECTIVE DATE. This division of this Act, being
3 deemed of immediate importance, takes effect upon enactment.

4 Sec. 57. RETROACTIVE APPLICABILITY. This division of this
5 Act applies retroactively to January 1, 2025, for tax years
6 beginning on or after that date.

7 DIVISION X

8 ESTIMATED TAX THRESHOLD

9 Sec. 58. Section 422.16, subsection 12, paragraph a,
10 subparagraph (1), Code 2025, is amended to read as follows:

11 (1) Taxpayers filing a return shall make estimated tax
12 payments if their Iowa income tax liability can reasonably be
13 expected to amount to ~~two hundred~~ one thousand dollars or more
14 for the year.

15 Sec. 59. EFFECTIVE DATE. This division of this Act takes
16 effect January 1, 2026.

17 Sec. 60. APPLICABILITY. This division of this Act applies
18 to tax years beginning on or after January 1, 2026.

19 DIVISION XI

20 TAX EXPENDITURE REVIEW

21 Sec. 61. Section 2.48, subsection 2, paragraph a,
22 subparagraph (1), Code 2025, is amended to read as follows:

23 (1) The department administering a tax expenditure
24 described in subsection 3 shall engage in a review of the tax
25 expenditure based upon the schedule in subsection 3, unless the
26 tax expenditure is repealed. For purposes of this section,
27 a tax expenditure is considered repealed if a zero amount
28 remains available to be awarded, issued, or claimed under law.
29 If multiple departments administer the tax expenditure, the
30 departments shall cooperate in the review.

31 Sec. 62. Section 2.48, subsection 3, paragraph b,
32 subparagraph (1), Code 2025, is amended by striking the
33 subparagraph.

34 Sec. 63. Section 2.48, subsection 3, paragraph d,
35 subparagraphs (3) and (5), Code 2025, are amended by striking

1 the subparagraphs.

2 Sec. 64. Section 2.48, subsection 3, paragraph e,
3 subparagraph (4), Code 2025, is amended by striking the
4 subparagraph.

5 Sec. 65. 2017 Iowa Acts, chapter 29, section 169, is amended
6 to read as follows:

7 SEC. 169. EFFECTIVE DATE. The following provision or
8 provisions in Division I of this Act take effect July 1, ~~2030~~
9 2039:

10 1. The section of this Act amending section 2.48, subsection
11 3, paragraph "h".

12 DIVISION XII

13 LIMITATIONS ON SALES TAX EXEMPTIONS AND REFUNDS AND TRANSFERS
14 TO THE ENERGY INFRASTRUCTURE REVOLVING FUND

15 Sec. 66. Section 423.2A, subsection 2, Code 2025, is amended
16 by adding the following new paragraph:

17 NEW PARAGRAPH. h. Beginning July 1, 2025, transfer to
18 the energy infrastructure revolving loan fund under section
19 476.46A the portion of sales tax revenues attributable to the
20 expiration of the exemption period specified in all of the
21 following:

22 (1) Section 423.3, subsection 92, paragraph "a",
23 subparagraph (2) or (3).

24 (2) Section 423.3, subsection 93, paragraph "a",
25 subparagraph (2) or (3).

26 (3) Section 423.3, subsection 95, paragraph "a",
27 subparagraph (2) or (3).

28 Sec. 67. Section 423.3, subsection 92, paragraph a,
29 subparagraphs (2) and (3), Code 2025, are amended to read as
30 follows:

31 (2) (a) The sales price of backup power generation fuel,
32 that is purchased by a web search portal business for use in
33 the items listed in subparagraph (1).

34 (b) The duration of the exemption allowed under this
35 subparagraph shall be for the following time periods:

1 (i) For backup power generation fuel purchased in
2 connection with real property for a web search portal that
3 began operating prior to the effective date of this division of
4 this Act, there shall be no limitation on the duration of the
5 exemption.

6 (ii) For backup power generation fuel purchased by a
7 web search portal in connection with real property with new
8 construction upon the property completed on or after the
9 effective date of this division of this Act, or additions
10 upon existing property on or after the effective date of this
11 division of this Act, and such property is located entirely
12 or in part within a city having a population of more than
13 thirty thousand, according to the most recent decennial federal
14 census, the first ten years of operation in connection with the
15 new construction or addition upon the existing property.

16 (iii) For backup power generation fuel purchased by a
17 web search portal in connection with real property with new
18 construction upon the property completed on or after the
19 effective date of this division of this Act, or additions
20 upon existing property on or after the effective date of this
21 division of this Act, and such property of such a web portal
22 business is not located entirely or in part within a city
23 having a population of more than thirty thousand, according to
24 the most recent decennial federal census, the first fifteen
25 years of operation in connection with the new construction or
26 addition upon the existing property.

27 (3) (a) The sales price of electricity purchased for use in
28 providing a web search portal.

29 (b) The duration of the exemption allowed under this
30 subparagraph shall be for the following time periods:

31 (i) For electricity purchased in connection with real
32 property for web search portals that began operating prior to
33 the effective date of this division of this Act, there shall be
34 no limitation on the duration of the exemption.

35 (ii) For electricity purchased by a web search portal in

1 connection with real property with new construction upon the
2 property completed on or after the effective date of this
3 division of this Act, or additions upon existing property on or
4 after the effective date of this division of this Act, and such
5 property is located entirely or in part within a city having
6 a population of more than thirty thousand, according to the
7 most recent decennial federal census, the first ten years of
8 operation in connection with the new construction or addition
9 upon the existing property.

10 (iii) For electricity purchased by a web search portal
11 in connection with real property with new construction upon
12 the property completed on or after the effective date of this
13 division of this Act, or additions upon existing property on
14 or after the effective date of this division of this Act, and
15 such property is not located entirely or in part within a city
16 having a population of more than thirty thousand, according to
17 the most recent decennial federal census, the first fifteen
18 years of operation in connection with the new construction or
19 addition upon the existing property.

20 Sec. 68. Section 423.3, subsection 92, paragraph b, Code
21 2025, is amended by adding the following new subparagraphs:

22 NEW SUBPARAGRAPH. (5) The web search portal business
23 shall register with the department as a web search portal.
24 To maintain its registration, the web search portal business
25 shall file an annual report with the department, by January 31,
26 2026, and by each January 31 thereafter. The annual report
27 shall describe the backup power generation fuel and electricity
28 purchased and used in the previous calendar year for the
29 purposes described in paragraph "a", subparagraphs (2) and (3),
30 and any other information the department requires.

31 NEW SUBPARAGRAPH. (6) Beginning after January 31, 2026,
32 when purchasing exempt property under paragraph "a", the web
33 search portal business shall present an exemption certificate,
34 issued annually to the web search portal business after
35 filing the annual report pursuant to subparagraph (5), to the

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1 retailer.

2 Sec. 69. Section 423.3, subsection 92, paragraph e, Code
3 2025, is amended by adding the following new subparagraph:

4 NEW SUBPARAGRAPH. (03) "*Site preparation activities*" means
5 the same as defined in subsection 95.

6 Sec. 70. Section 423.3, subsection 93, paragraph a,
7 subparagraphs (2) and (3), Code 2025, are amended to read as
8 follows:

9 (2) (a) The sales price of backup power generation fuel,
10 that is purchased by a web search portal business for use in
11 the items listed in subparagraph (1).

12 (b) The duration of the exemption allowed under this
13 subparagraph shall be for the following time periods:

14 (i) For backup power generation fuel purchased and used
15 in connection with real property for a web search portal
16 business that began operating prior to the effective date of
17 this division of this Act, there shall be no limitation on the
18 duration of the exemption.

19 (ii) For backup power generation fuel purchased by a web
20 search portal business in connection with real property with
21 new construction upon the property completed on or after the
22 effective date of this division of this Act, or additions
23 upon existing property on or after the effective date of this
24 division of this Act, and such property is located entirely
25 or in part within a city having a population of more than
26 thirty thousand, according to the most recent decennial federal
27 census, the first ten years of operation in connection with the
28 new construction or addition to the existing property.

29 (iii) For backup power generation fuel purchased by a web
30 search portal business in connection with real property with
31 new construction upon the property completed on or after the
32 effective date of this division of this Act, or additions
33 upon existing real property on or after the effective date
34 of this division of this Act, and such real property is not
35 located entirely or in part within a city having a population

1 of more than thirty thousand, according to the most recent
2 decennial federal census, the first fifteen years of operation
3 in connection with the new construction or addition to the
4 existing property.

5 (3) (a) The sales price of electricity purchased for use by
6 a web search portal business.

7 (b) The duration of the exemption allowed under this
8 subparagraph shall be for the following time periods:

9 (i) For electricity purchased and used in connection with
10 real property for a web search portal business that began
11 operating prior to the effective date of this division of
12 this Act, there shall be no limitation on the duration of the
13 exemption.

14 (ii) For electricity purchased by a web search portal
15 business in connection with real property with new construction
16 upon the property completed on or after the effective date of
17 this division of this Act, or additions upon existing property
18 on or after the effective date of this division of this Act,
19 and such property is located entirely or in part within a city
20 having a population of more than thirty thousand, according
21 to the most recent decennial federal census, the first ten
22 years of operation in connection with the new construction or
23 addition to the existing property.

24 (iii) For electricity purchased by a web search portal
25 business in connection with real property with new construction
26 upon the property completed on or after the effective date of
27 this division of this Act, or additions upon existing property
28 on or after the effective date of this division of this Act,
29 and such property is not located entirely or in part within
30 a city having a population of more than thirty thousand,
31 according to the most recent decennial federal census, the
32 first fifteen years of operation in connection with the new
33 construction or addition to the existing property.

34 Sec. 71. Section 423.3, subsection 93, paragraph b, Code
35 2025, is amended by adding the following new subparagraphs:

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1 NEW SUBPARAGRAPH. (5) The web search portal business shall
2 register with the department as a web search portal business.
3 To maintain its registration, the web search portal business
4 shall file an annual report with the department, by January 31,
5 2026, and by each January 31 thereafter. The annual report
6 shall describe the backup power generation fuel and electricity
7 purchased and used in the previous calendar year for the
8 purposes described in paragraph "a", subparagraphs (2) and (3),
9 and any other information the department requires.

10 NEW SUBPARAGRAPH. (6) Beginning after January 31, 2026,
11 when purchasing exempt property under paragraph "a", the web
12 search portal business shall present an exemption certificate,
13 issued annually to the web search portal business after filing
14 the annual report pursuant to subparagraph (5) to the retailer.

15 Sec. 72. Section 423.3, subsection 93, paragraph e, Code
16 2025, is amended by adding the following new subparagraph:

17 NEW SUBPARAGRAPH. (03) "*Site preparation activities*" means
18 the same as defined in subsection 95.

19 Sec. 73. Section 423.3, subsection 95, paragraph a,
20 subparagraphs (2) and (3), Code 2025, are amended to read as
21 follows:

22 (2) (a) The sales price of backup power generation fuel
23 that is purchased by a data center business for use in the
24 items listed in subparagraph (1).

25 (b) The duration of the exemption allowed under this
26 subparagraph shall be for the following time periods:

27 (i) For backup power generation fuel purchased in
28 connection with real property the data center business began
29 operating prior to the effective date of this division of
30 this Act, there shall be no limitation on the duration of the
31 exemption.

32 (ii) For backup power generation fuel purchased by a
33 data center business in connection with real property with
34 new construction upon the property completed on or after the
35 effective date of this division of this Act, or additions

1 upon existing property on or after the effective date of this
2 division of this Act, and such property is located entirely
3 or in part within a city having a population of more than
4 thirty thousand, according to the most recent decennial federal
5 census, the first ten years of operation in connection with the
6 new construction or addition upon the existing property.

7 (iii) For backup power generation fuel purchased by a
8 data center business in connection with real property with
9 new construction upon the property completed on or after the
10 effective date of this division of this Act, or additions
11 upon existing property on or after the effective date of this
12 division of this Act, and such property is not located entirely
13 or in part within a city having a population of more than
14 thirty thousand, according to the most recent decennial federal
15 census, the first fifteen years of operation in connection with
16 the new construction or addition upon the existing property.

17 (3) (a) The sales price of electricity purchased for use by
18 a data center business.

19 (b) The duration of the exemption allowed under this
20 subparagraph shall be for the following time periods:

21 (i) For electricity purchased in connection with real
22 property the data center business began operating prior the
23 effective date of this division of this Act, there shall be no
24 limitation on the duration of the exemption.

25 (ii) For electricity purchased by a data center business
26 in connection with real property with new construction upon
27 the property completed on or after the effective date of this
28 division of this Act, or additions upon existing property on or
29 after the effective date of this division of this Act, and such
30 property is located entirely or in part within a city having
31 a population of more than thirty thousand, according to the
32 most recent decennial federal census, the first ten years of
33 operation in connection with the new construction or addition
34 to the existing property.

35 (iii) For electricity purchased by a data center business

1 in connection with real property with new construction upon
2 the property completed on or after the effective date of this
3 division of this Act, or additions upon existing property on
4 or after the effective date of this division of this Act, and
5 such property is not located in part within a city having a
6 population of more than thirty thousand, according to the most
7 recent decennial federal census, the first fifteen years of
8 operation in connection with the new construction or addition
9 to the property.

10 Sec. 74. Section 423.3, subsection 95, paragraph b,
11 subparagraph (3), Code 2025, is amended to read as follows:

12 (3) The data center business shall make a minimum investment
13 in an Iowa physical location of two hundred million dollars
14 within the first six years of operation in Iowa beginning with
15 the date the data center business initiates site preparation
16 activities, or the beginning date of the initial lease term
17 of a data center, as applicable. The minimum investment
18 includes the initial investment, including land and subsequent
19 acquisition of additional adjacent land and subsequent
20 investment at the Iowa location.

21 Sec. 75. Section 423.3, subsection 95, paragraph b, Code
22 2025, is amended by adding the following new subparagraphs:

23 NEW SUBPARAGRAPH. (5) The data center business shall
24 register with the department as a data center business. To
25 maintain its registration, the data center business shall file
26 an annual report with the department, by January 31, 2026,
27 and by each January 31 thereafter. The annual report shall
28 describe the backup power generation fuel and electricity
29 purchased in the previous calendar year for the purposes
30 described in paragraph "a", subparagraphs (2) and (3), and any
31 other information the department requires.

32 NEW SUBPARAGRAPH. (6) Beginning after January 31, 2026,
33 when purchasing exempt property under paragraph "a", the data
34 center business shall present an exemption certificate, issued
35 annually to the data center business after filing the annual

1 report pursuant to subparagraph (5), to the retailer.

2 Sec. 76. Section 423.3, subsection 95, paragraphs c and d,
3 Code 2025, are amended to read as follows:

4 c. This exemption applies from the date of the initial
5 investment in, ~~or~~ the initiation of site preparation activities
6 for the data center business facility, or from the beginning
7 date of the initial lease term, as described in paragraph "b".

8 d. Failure to meet eighty percent of the minimum investment
9 amount requirement specified in paragraph "b" within the first
10 six years of operation from the date the data center business
11 initiates site preparation activities or from the beginning
12 date of the initial lease term, as applicable, will result
13 in the data center business losing the right to claim this
14 data center business exemption and the data center business
15 shall pay all sales or use tax that would have been due on the
16 purchase or use of the items listed in this exemption, plus any
17 applicable penalty and interest imposed by statute.

18 Sec. 77. Section 423.3, subsection 95, Code 2025, is amended
19 by adding the following new paragraph:

20 NEW PARAGRAPH. *0d.* A data center business leasing space to
21 operate a data center as a lessee is eligible to qualify for
22 the exemption under this subsection.

23 Sec. 78. Section 423.3, subsection 95, paragraph e,
24 subparagraphs (1) and (2), Code 2025, are amended to read as
25 follows:

26 (1) "*Data center*" means a building rehabilitated or
27 constructed to house a group of networked server computers
28 in one physical location in order to centralize the storage,
29 management, and dissemination of data and information
30 pertaining to a particular business, taxonomy, or body of
31 knowledge. A data center business's facility typically
32 includes the mechanical and electrical systems, redundant
33 or backup power supplies, redundant data communications
34 connections, environmental controls, and fire suppression
35 systems. A data center business's facility also includes a

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1 restricted access area employing advanced physical security
2 measures such as video surveillance systems and card-based
3 security or biometric security access systems. "Data center"
4 includes the lease of a business facility leased by an entity
5 operating a data center business at that location.

6 (2) *"Data center business"* means an entity whose business
7 among other businesses, is to operate or lease a data center.

8 Sec. 79. Section 423.3, subsection 95, paragraph e, Code
9 2025, is amended by adding the following new subparagraph:

10 NEW SUBPARAGRAPH. (3) *"Site preparation activities"* means
11 actions that are taken prior to beginning construction or
12 rehabilitation of the building that will house the data center
13 and in preparation for the construction or rehabilitation.
14 *"Site preparation activities"* include but are not limited to
15 grading and clearing of land, storing of construction equipment
16 including temporary buildings and trailers for equipment
17 storage and for construction offices, exploratory excavating
18 and borings to assess the sustainability of a site, and
19 clearing the site of existing vegetation, old buildings, or
20 old equipment. *"Site preparation activities"* does not include
21 the purchase or installation of the tangible personal property
22 described in paragraph "a", subparagraph (1).

23 Sec. 80. Section 423.4, subsection 7, paragraph b,
24 subparagraph (1), Code 2025, is amended to read as follows:

25 (1) The data center business shall make an investment
26 in an Iowa physical location within the first three years of
27 operation in Iowa beginning with the date on which the data
28 center business initiates site preparation activities, or
29 within three years of the beginning date of the initial lease
30 term of the data center, as applicable.

31 Sec. 81. Section 423.4, subsection 7, Code 2025, is amended
32 by adding the following new paragraph:

33 NEW PARAGRAPH. g. As used in this subsection, *"site*
34 *preparation activities"* means the same as defined in section
35 423.3, subsection 95.

1 Sec. 82. Section 423.4, subsection 8, paragraph b,
2 subparagraph (2), Code 2025, is amended to read as follows:

3 (2) The data center business shall make a minimum
4 investment of at least ten million dollars, in the case of new
5 construction, or at least five million dollars in the case
6 of a rehabilitated building, in an Iowa physical location
7 within the first six years of operation in Iowa, beginning
8 with the date on which the data center business initiates site
9 preparation activities or the beginning date of the initial
10 lease term, as applicable. The minimum investment includes the
11 initial investment, including the value of a lease agreement
12 or the amount invested in land and subsequent acquisition of
13 additional adjacent land and subsequent investment at the Iowa
14 location.

15 Sec. 83. Section 423.4, subsection 8, Code 2025, is amended
16 by adding the following new paragraph:

17 NEW PARAGRAPH. *h.* As used in this subsection, "*site*
18 *preparation activities*" means the same as defined in section
19 423.3, subsection 95.

20 Sec. 84. Section 423.43, subsection 1, paragraph a, Code
21 2025, is amended to read as follows:

22 *a.* Except as provided in ~~subsection 2~~ subsections 2 and 3,
23 all revenue arising under the operation of the use tax under
24 subchapter III shall be deposited into the general fund of the
25 state.

26 Sec. 85. Section 423.43, Code 2025, is amended by adding the
27 following new subsection:

28 NEW SUBSECTION. 3. All revenues derived from the use tax
29 imposed pursuant to section 423.5 and attributable to the
30 expiration of the exemption time period specified in all of the
31 following shall be transferred to the energy infrastructure
32 revolving loan fund under section 476.46A:

33 *a.* Section 423.3, subsection 92, paragraph "*a*", subparagraph
34 (2) or (3).

35 *b.* Section 423.3, subsection 93, paragraph "*a*", subparagraph

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1 (2) or (3).

2 *c.* Section 423.3, subsection 95, paragraph "a", subparagraph
3 (2) or (3).

4 Sec. 86. Section 427.1, subsection 37, paragraph b, Code
5 2025, is amended to read as follows:

6 *b.* This data center business exemption applies beginning
7 with the assessment year the investment in or construction of
8 the facility utilizing the materials, equipment, and systems
9 set forth in paragraph "a" are first assessed, or applies
10 beginning with the assessment year in which the date of the
11 initial lease term of a data center by a data center business
12 begins, as applicable.

13 Sec. 87. EFFECTIVE DATE. This division of this Act, being
14 deemed of immediate importance, takes effect upon enactment.>

15 2. Title page, by striking lines 1 through 6 and inserting
16 <An Act relating to the administration of the tax by the
17 department of revenue by modifying provisions related to
18 personal income, property, sales and use, motor fuel, and
19 inheritance taxes, changing tax expenditure reviews, and
20 including effective date and retroactive applicability
21 provisions.>

DAN DAWSON